OFFERING MEMORANDUM

Pelican Prairie Market Lofts | Cleveland, OH

Property	Pelican Prairie Market Lofts
Location	3066 Technology Road, Cleveland, OH 61715
Property Type	Mixed-Use
Size	408,991 SF
Year Built	1970
Offering	Unpriced - Offers Due July 30, 2022

Investor Distributions

Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The property is walkable to transit, with 8 structured parking spaces shared between uses. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

The business plan contemplates a hold period of 4 years with disposition upon achievement of target returns. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Projected levered IRR is 2.6% with an equity multiple of 1.30x over the hold period. The project combines ground-floor retail and restaurant space with upper-level residential and office components.

Demographics and Employment

Median household income within a 9-mile radius of the property is approximately $364,000 and has grown 9.2% annually. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The property is walkable to transit, with 10 structured parking spaces shared between uses.

Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Investor demand for Mixed-Use assets in Cleveland remains strong with recent trades at capitalization rates between 6.26% and 6.26%. The property is walkable to transit, with 32 structured parking spaces shared between uses. Market vacancy for comparable Mixed-Use product stands at 11.7%, down from 7.5% two years ago.

Business Plan Progress

The business plan contemplates a hold period of 4 years with disposition upon achievement of target returns. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Projected levered IRR is 6.5% with an equity multiple of 1.4x over the hold period. Distributions to investors for the quarter were paid at an annualized rate of 5.9% on contributed capital.

Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Projected levered IRR is 7.4% with an equity multiple of 1.17x over the hold period. Distributions to investors for the quarter were paid at an annualized rate of 6.6% on contributed capital. Percentage rent and CAM reimbursements are tracked separately for the commercial component.

Market Overview

The project combines ground-floor retail and restaurant space with upper-level residential and office components. The property is walkable to transit, with 37 structured parking spaces shared between uses. The Cleveland Mixed-Use market has experienced absorption of 500 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Employment growth is led by healthcare, logistics, education and professional services sectors. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Percentage rent and CAM reimbursements are tracked separately for the commercial component.

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Disclaimer and Confidentiality

The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of OH. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. This document relates solely to Pelican Prairie Market Lofts and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

Each party represents that it has full power and authority to enter into and perform its obligations hereunder. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of OH. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. This document relates solely to Pelican Prairie Market Lofts and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

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